

pounds. (PAOE, Linse Decl., ¶2, ¶8, ¶10.) These are triable issues of material fact as to whether City failed to provide reasonable accommodations.

3rd Cause of Action: Failure to Prevent Discrimination, Harassment, and Retaliation:

Government Code section 12940, subdivision (k) establishes a distinct, actionable tort for failing to take reasonable steps to prevent discrimination and harassment. The core elements are duty of care, breach, causation, and damages. (See *Trujillo v. North County Transit District* (1998) 63 Cal.App.4th 280, 289.) As a general rule, there can be no failure to prevent if there is no underlying claim. (*Id.* at 284.) Because the underlying claims survive, this claim also survives.

6.

CASE #	CASE NAME	HEARING NAME
CVSW2403508	FORTUNA VS VAN DAELE HOMES, LLC	DEMURRER AND MOTION TO STRIKE 3 RD AMENDED COMPLAINT

Tentative Ruling: Grant the requests for judicial notice. Overrule the demurrer. Deny the motion to strike. Defendants are ordered to file their Answer within 30 days. Grant the RJN as to the TAC and of the January 9, 2026 Minute Order. (Evid. Code, § 452(d).)

Seventh Cause of Action For Breach of Contract: Plaintiffs allege Defendants breached the Easement and Construction Agreement by installing On-Site Sewer Improvements on the Highpointe Property that cannot serve the Franch Valley Acre’s (FVA) Property as mapped. Plaintiffs contend: (1) the installed line’s raised invert and reduced diameter make it inadequate to serve planned FVA residences, forcing Plaintiffs to raise site elevations or install a lift station (TAC ¶¶ 23, 28, 30, 31, 33, 41); (2) in 2019, Defendants revised the 2018 shared gravity concept, raising the invert at Koon Street seven-to-eight feet and reducing the offsite line from 15 to 8 inches (¶¶ 30, 31, 34, 126, 127, 128); (3) had Defendants shared revised plans, EMWD comments, and sought FVA’s written approval as required by Sections 1.1(b) and 1.1(d), FVA could have insisted on a compatible design and avoided extra costs (¶¶ 25, 32, 33, 34, 47, 51, 125, 127, 128, 129, 136–138, 146–150); and (4) the installed design is not materially consistent with the FVA tentative tract map (TTM 36722) as required by Section 1.1(b) due to raised invert and reduced diameter (¶¶ 24, 27, 30, 31, 33, 34, 41, 46, 47, 48, 125, 128, 129, 136–138, 146–150). Plaintiffs plead pre-assignment liability against Highpointe and post-assignment liability against Forestar and D.R. Horton as assignees (¶¶ 26, 35, 128, 129)

The demurrer raises a contract interpretation issue. Because the contract language is reasonably susceptible to Plaintiffs’ construction, the court cannot decide between competing interpretations at the pleading stage. Extrinsic evidence is admissible to show a reasonable meaning. The Agreement requires On-Site Sewer Improvements to provide adequate capacity for all residences on both the Highpointe and FVA Properties. Plaintiffs interpret this as requiring functional service—FVA’s lots must be able to physically connect and use the system by gravity, not just have volumetric pipe capacity at an unusable elevation. This reading is reasonable and cannot be rejected now.

Section 1.1(b) of the Easement Agreement requires plans to be materially consistent with the other party’s tentative map and meet all Governmental Agency requirements—two separate obligations. The “and” cannot be ignored. Contracts must be interpreted to give effect to all provisions and the mutual intent of the parties. Defendants’ view that EMWD approval alone suffices renders the “materially consistent” requirement meaningless, which courts avoid. Where

two contract interpretations exist, the reasonable, fair, and just one should be adopted, especially at the demurrer stage when allegations are taken as true.

Defendants argue Section 2.3's cost-allocation structure eliminates any depth obligation, but the text does not support this. Section 2.3 allows for agency-required depth and cost-sharing if required, but does not permit Defendants to install the system at any depth, ignoring FVA's TTM or service capability. The provision addresses cost allocation, not performance obligations set elsewhere in the Agreement.

Section 1.1(d)'s material-modification approval supports Plaintiffs. The TAC alleges Defendants materially altered the sewer by raising the invert elevation, defeating gravity service to FVA. Whether this requires advance delivery and approval is a factual question not resolvable on demurrer when Plaintiffs have pled supporting facts.

The TAC alleges Defendants: (1) raised the invert elevation, defeating service to FVA's mapped lots; (2) failed to deliver material modifications for approval; and (3) installed a system materially inconsistent with FVA's Tentative Tract Map. Taken as true and viewed in Plaintiffs' favor, these allegations state a breach of contract claim.

Eighth Cause of Action for Breach of Implied Covenant: Defendant contends that this claim exceeds both the express terms of the Agreement and the parties' legitimate expectations. However, the implied covenant claim is properly pleaded because it is derivative of and supplemental to the breach of contract claim. If the Agreement required functional service and material consistency, Defendants' alleged use of discretionary processing to frustrate those contractual benefits—and to exclude FVA from required approval processes—adequately states a claim for breach of the implied covenant.

Ninth Cause of Action for Declaratory Relief: Defendants contend that Plaintiffs fail to state a valid claim for declaratory relief because the claim is entirely derivative of their breach of contract claim and concerns only alleged past wrongs. However, "a party may plead in the alternative and may make inconsistent allegations." (*Third Eye Blind, Inc. v. Near North Entertainment Ins. Services, LLC* (2005) 127 Cal.App.4th 1311, 1323.) Further, where the precise facts or the legal nature of the rights and liabilities are uncertain, alternative and even inconsistent theories may be pleaded. (*Rader Co. v. Stone* (1986) 178 Cal.App.3d 10, 29.)

The controversy is ongoing, not merely historical. The recorded Easement Agreement creates covenants, benefits, and burdens that run with the land and bind successors and assigns. (TAC, ¶ 29.) Plaintiffs seek declarations regarding continuing obligations under this land-burdening instrument: whether the current configuration satisfies the Agreement, whether Defendants must take corrective action or compensate FVA for increased costs, and how responsibility is allocated among the original party (Highpointe) and its alleged successors or assigns (Forestar and D.R. Horton).

Motion to Strike: While Defendants may disagree with the allegations in the TAC, such disagreement alone does not constitute a valid basis for striking allegations from the complaint.